RW–10623

Sub. Code
632505

M.B.A. DEGREE EXAMINATION, NOVEMBER 2015

Banking and Insurance

FINANCIAL MANAGEMENT

(CBCS 2008 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

All questions carry equal marks.

1. What is the concept of wealth in the context of wealth maximization objective?
2. State the process for calculating the Present value of a sum received after n years.
3. What is meant by 'Term lending by Banks'?
4. State the components of working capital.
5. What is the concept of cost of capital?
6. What do you understand by Capital structure?
7. What is meant by 'Capital Rationing'?
8. List out the different types of dividends.
9. What do you understand from the term 'ploughing back of profits'?
10. Write a short note on CAPM.

Part B $(5 \times 5 = 25)$

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

11. (a) What is the relationship between 'financial decision-making' and 'risk and return'?

Or

(b) What are the major types of financial decisions that a business firm makes?

12. (a) What is a debenture? What are its features?

Or

(b) Wrote short notes on Equity capital as a source of long-term finance.

13. (a) Explain the net operating income theory of capital structure.

Or

(b) ABC Ltd. has the following capital structure :

Equity(expected dividend 12%)	Rs. 10,00,000
10% Preference	Rs. 5,00,000
8% Loan	Rs. 15,00,000

You are required to calculate the weighted average cost of capital, assuming 50% as the rate of income tax, before and after tax.

14. (a) What is operating leverage and financial leverage? State their significance.

Or

(b) Project X initially COSTS Rs. 25,000. It generates the following cash flows :

Year	Cash inflows	Present value of Re. 1 at 10%
1	Rs. 9,000	0.909
2	Rs. 8,000	0.826
3	Rs. 7,000	0.751
4	Rs. 6,000	0.683
5	Rs. 5,000	0.621

Taking the cut-off rate as 10% suggest whether the project should be accepted or not?

15. (a) What are the assumptions of Gorden's dividend model?

Or

(b) State the different dividend policies.

Part C $(3 \times 10 = 30)$

Answer any **three** questions.

All questions carry equal marks.

16. In what directions the field of finance evolved in recent years? State the objectives and scope of financial management.

17. The financing of current assets is governed by the financing policy of the firm. Briefly discuss the various financing approaches.

18. Calculate the degree of Operating leverage, Degree of Financial leverage and the Degree of Combined leverage for the following firms and interpret the results :

	P	Q	R
Output (Units)	3,00,000	75,000	5,00,000
Fixed costs (Rs.)	3,50,000	7,00,000	75,000
Unit Variable cost (Rs.)	1.0	7.5	0.10
Interest Expenses (Rs.)	25,000	40,000	Nil
Unit Selling Price (Rs.)	3.00	25.00	0.50

19. A choice is to be made between two competing projects which require an equal investment of Rs. 50,000 and are expected to generate net cash inflows as under :

	Project I	Project II
End of year 1	Rs. 25,000	Rs. 10,000
End of year 2	15,000	12,000
End of year 3	10,000	18,000
End of year 4	Nil	25,000
End of year 5	12,000	8,000
End of year 6	6,000	4,000

20. Discuss the factors influencing dividend decisions.

RW–10343

Sub. Code
632302

M.B.A. (B & I) DEGREE EXAMINATION, NOVEMBER 2015

LIFE ASSURANCE

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** the questions.

All questions carry equal marks.

1. State the need for of life assurance.

2. Mention the building blocks of life assurance.

3. Define 'Underwriting'. Point out the underwriting process.

4. Write a note on 'loan on policy'.

5. What are the basic requirements to settle death claims and maturity claims?

Part B (5 × 10 = 50)

Answer **all** the questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Explain the various factors affecting rates of mortality.

Or

(b) Confer in detail the different types of life assurance policies.

7. (a) Briefly elucidate the sources of information connecting underwriting.

Or

(b) What is numerical rating method? Discuss the importance of risk inspection report.

8. (a) How to calculate premium? Explain with examples.

Or

(b) Discuss different revival methods of lapsed life assurance policies.

9. (a) Differentiate between assignment and nomination.

Or

(b) Briefly discuss the procedures regarding calculation of surrender value.

10. (a) Give detail account of different methods of valuation.

Or

(b) Enumerate the range of claim settlement options.

Part C $(1 \times 10 = 10)$

Compulsory

11. Give your comments on any THREE of the following statements.

(a) The proposal papers will be complete when the proposal forms; medical examiner's report, agent's confidential report and personal statement are attached.

(b) It is the duty of the assured to make a full disclosure to the underwriter without being asked.

(c) A bachelor without dependants needs no insurance.

(d) In life assurance the word 'surplus' signifies an estimated profit as the calculation of profit in insurance business is slightly different from other businesses.

RW–10344

Sub. Code
632303

M.B.A. (B & I) DEGREE EXAMINATION, NOVEMBER 2015

Third Semester

FOREIGN EXCHANGE

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. What is meant by Foreign Exchange?
2. Write short note on Exchange Quotations.
3. Briefly write about Dealing Positions in FOREX.
4. What is foreign currency loan?
5. Write the importance of EXIM Bank

Part B (5 × 10 = 50)

Answer **all** questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Discuss the functions of the Foreign Exchange Department in a Commercial Bank.

Or

(b) Explain the different types of Foreign Currency Accounts.

7. (a) Differentiate between buying and selling rates and also differentiate spot market and forward market.

Or

(b) Write the different methods followed for calculating the option forward rate.

8. (a) Discuss the different types of Foreign Exchange Markets.

Or

(b) Discuss about Currency Exchange Risk and its management.

9. (a) Explain the role of Commercial Banks in Export Financing.

Or

(b) Write the mechanism, types, merits and demerits of Letter of Credit.

10. (a) Elucidate the role of Exim Banks in Indian Export and Import.

Or

(b) Illustrate the role of ECGC in the process of Exchange Risk Management.

Part C $(1 \times 10 = 10)$

(Compulsory)

11. You are a manager of a garment manufacturing company situated in Tamilnadu. The firm is primarily focusing on

domestic market. Now the company insists you to start export of garments to Europe countries where the demand is more. How will you proceed to accomplish the mission of exporting garments manufacturing in India to Europe.

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RW–10345

Sub. Code
632304

M.B.A. (B&I) DEGREE EXAMINATION, NOVEMBER 2015

Third Semester

MARKETING OF BANKING SERVICES

(CBCS 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

1. What is marketing audit?

2. What is the use of ATMs?

3. What is bancassurance?

4. What is Ombudsman Scheme?

5. Brief on the role of marketing department of a bank.

Part B (5 × 10 = 50)

Answer **all** questions.

6. (a) Explain the process of marketing audit and its components.

Or

(b) Conduct a SWOT analysis of a bank branch well known to you.

7. (a) Discuss on the branch expansion policy followed by commercial banks in India.

Or

(b) Explain the role of pricing in bank services.

8. (a) Discuss the nature of product management with respect to banks.

Or

(b) Explain the process of globalizing of banking products.

9. (a) Discuss the process of CRM in banks.

Or

(b) Discuss the importance of marketing research in banks.

10. (a) Discuss the need for simplification of bank procedures. How will you do it?

Or

(b) Discuss the opportunities and challenges in modern banking.

Part C $(1 \times 10 = 10)$

Compulsory

11. Give your comments on any three of the following statements.

(a) "Rural bank branches are a drain on resources of banks'.

(b) 'Money is like honey. Borrowers will seek banks without any promotional effort of banks'.

(c) 'Customer is the most important person in the business'.

(d) 'Entry of foreign banks has helped the Indian Financial System to improve its efficiency'.

RW–10346

Sub. Code
632305

M.B.A. (B&I) DEGREE EXAMINATION, NOVEMBER 2015

Third Semester

CREDIT MANAGEMENT

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

1. What is credit risk?

2. What is cash credit?

3. What are the objectives of credit rating?

4. What is encumbrance certificate?

5. What is credit monitoring?

Part B (5 × 10 = 50)

Answer **all** questions.

6. (a) Explain the principles of credit management.

Or

(b) Discuss the role of IT in credit management.

7. (a) Explain the process of working capital assessment for SMEs.

Or

(b) Discuss on the recent developments in financial inclusion.

8. (a) Explain the process of financial appraisal.

Or

(b) Explain the process of structuring a credit proposal.

9. (a) Explain the nature of law of limitation and its importance in banking.

Or

(b) Explain the process of registration of charges. Why is it important?

10. (a) Discuss the goals and process of credit monitoring.

Or

(b) Discuss the opportunities and challenges in rehabilitation of sick units.

Part C – (1 × 10 = 10)

Compulsory

11. Give your comments on any THREE of the following statements.

(a) 'Farm loans are always waived off. Successive Government.

(b) 'A robust Information System avoids credit risk than an army of recovery agents'.

(c) 'A business that adds value is better than one that does not add real value as a potential borrower'.

(d) "Loan recovery is more painful than lending. So think and evaluate many times before you lend'.

RW–10347

Sub. Code
632306

M.B.A. (B&I) DEGREE EXAMINATION, NOVEMBER 2015

Third Semester

FIRE INSURANCE

(CBCS 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

1. What is Floater Policy?

2. What is a insurance proposal?

3. What is detection system?

4. What is concurrent policy?

5. What is a claim survey report?

Part B (5 × 10 = 50)

Answer **all** questions.

6. (a) Explain the special policy.

Or

(b) Discuss the nature of Declaration policies.

7. (a) Explain the process of drafting policies and endorsements.

Or

(b) Discuss on the method of calculating premiums.

8. (a) Explain the hazards in air-conditioning systems and methods to avoid them.

Or

(b) Explain the nature of fire hazards in Paper industries and how to avoid losses due to them.

9. (a) Explain the nature of doctrine of proximate cause and its importance.

Or

(b) Explain the process of ascertainment of quantum of loss.

10. (a) Discuss the process to pay claim to persons other than the insured.

Or

(b) Discuss the content of a typical insurance survey report.

Part C – Compulsory (1 × 10 = 10)

11. Study the Case below and answer the question(s) :

The Two persons were killed and three injured in a fire at the Gharda Chemicals Ltd, MIDC, in Dombivli, on Thursday. The fire brigade said there was proper safety equipment at the unit. "Primary investigations show that the fire was due to a mechanical fault in a rotary filter which led to a short circuit," said chief fire officer. The company's public relations officer, said the workers were covered under group insurance and they would be compensated.

Question: If you are the owner of this factory, would you be only content with the insurance for workers alone? What actions would you have done to prevent financial loss due to fire? What are the pros and cons of each action?

RW–10606

Sub. Code
632203

M.B.A. DEGREE EXAMINATION, NOVEMBER 2015

Banking and Insurance

PRACTICE OF COMMERCIAL BANKING

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. What are the types of commercial banking systems?

2. What are the various forms of advances made for retail lending?

3. What are the pre-requirements of a banker to open an account by a partnership firm?

4. Distinguish between corporate securities and government securities.

5. Distinguish between hypothecation and mortgage.

Part B (5 × 10 = 50)

Answer **all** questions.

All questions carry equal marks.

6. (a) Explain the functions of a commercial bank.

Or

(b) Discuss the merits and demerits of nationalization of commercial banks in India.

7. (a) What are the principles of sound lending? Compare their working in housing loans and personal loans.

Or

(b) State the distinguishing features of subsidiary, traditional and contemporary services of commercial banks.

8. (a) State the banking formalities required by a commercial bank while operating the accounts of a Joint Account Holders and Joint Hindu Family.

Or

(b) State the banking formalities required by a commercial bank while operating the accounts of Joint Stock Companies and Clubs and Societies.

9. (a) What are the comparative advantages of life insurance policies and FD receipts while accepted as securities against lending?

Or

(b) What are the comparative advantages of documents of title to goods and documents to title to property while accepted as securities against lending?

10. (a) Explain the documentation procedure made during lending on lien and pledge.

Or

(b) What are the methods of creating charges while lending on hypothecation and mortgage?

Part C (1 × 10 = 10)

Case Study – Compulsory (10 marks)

11. M/S. Sun Electrical is a small-scale industry started by Shri Sunil, who is a qualified engineer, Bank has sanctioned firm a loan for Rs. 50,000 and cash credit for Rs. 1,00,000 under Technicians Scheme.

Although the account is covered under the Guarantee Scheme of the Reserve Bank of India for Small-Scale Industries, Bank has also obtained personal guarantee of Shri Amit, who is the brother of Shri Sunil and who is running his separate business in partnership with three other partners.

After 6 months, Shri Amit calls on the Bank and makes the following request:

(a) He asks you for information whether M/S. Sun Electricals has been doing well, whether their account has been conducted satisfactorily?

(b) He also requested you to return his personal guarantee and offers to give you guarantee of his partnership firm which is doing substantial business. The guarantee of the firm will be signed by him as a partner.

Discuss how would you deal with the above requests of Shri Amit.

RW–10608

Sub. Code
632204

M.B.A. DEGREE EXAMINATION, NOVEMBER 2015

Banking and Insurance

MONETARY MANAGEMENT

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. State any three features of money market and capital market.

2. Explain the concept of a bank of rediscount and lender of lost resort.

3. State any three traditional functions of RBI.

4. What do you mean by deposit insurance? How is it practised in India?

5. What do you understand by neutral money? Give any three examples.

Part B (5 × 10 = 50)

Answer **all** questions.

All questions carry equal marks.

6. (a) What are the characteristics of a developed money market? Explain the features of Indian Money Market.

Or

(b) What is the existing structure of Indian Market? What are the instruments used in it?

7. (a) Explain the functions of a central bank as a bank of issues, with suitable examples.

Or

(b) Explain the functions of a Central bank as a bank of controller of credit, with suitable examples.

8. (a) Explain in detail the supervisory functions of RBI along with BFS.

Or

(b) What are the RBI regulations relating to Capital, Reserves and Liquid Assets?

9. (a) Explain the role of RBI in the development of agriculture in India.

Or

(b) What are the steps taken by the RBI in the context of education and training of bank officers?

10. (a) How is the monetary policy of RBI evaluated? Suggest improvements.

Or

(b) How does the monetary policy of RBI maintain the balance between exchange rates stability and price stability in India?

Part C (10)

Case Study — Compulsory.

11. As markets buckled under the crisis, central banks were forced to adopt highly unusual policy responses - most notably emergency liquidity extensions to troubled financial institutions and the creation of new credit facilities. Typically, these initiatives had to be

implemented within an extremely narrow timeframe to boost market confidence and restore a degree of functioning. In many cases, central banks have pushed their institutional mandate and the scope of the legal powers to the limit. Central banks are grappling with how to deal with gains in new responsibilities - notably in financial stability and micro- and macro prudential regulation and supervision. This expansion of their role makes their work increasingly more public and brings them into closer contact with the fiscal authorities and other financial sector regulators. Any arrangements for cooperation must therefore be robust, but also have the capacity and flexibility to respond to new challenges.

On her experiences at the Reserve Bank of India, it will be essential to consider the challenges such as conflict of goals, information availability, information flow between various departments and institutions, and the increasing technical demands central banks have to face. Supervisory liability has always been on the radar screen of central banks as a key source of legal risk. With the expansion of their mandates in the areas of macro prudential supervision and bank resolution, central banks have gained more intrusive powers elevating the risk of challenge and litigation.

Questions :

(a) What are your constructive comments upon the role of RBI in the recent past with regard to boosting the market confidence especially after the fall of Greece?

(b) Do you advocate the independent functioning of the RBI with minimum support from the Union government? Explain.

RW–10610

Sub. Code
632205

M.B.A. DEGREE EXAMINATION, NOVEMBER 2015

Banking and Insurance

BANKING LAW

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions Carry Equal marks.

1. State the circumstances under which the banker can violate the obligation of maintaining customer secrecy.

2. Explain the legal significance of passbook entries.

3. Distinguish between the features of a cheque and a promissory note.

4. What are the duties of a collecting banker?

5. What is the need for SERFAESI Act?

Part B (5 × 10 = 50)

Answer **all** questions.

6. (a) What are the rights of a banker? Explain them with an example each.

Or

(b) Explain the general relationship between a banker and a customer with general legal obligations.

7. (a) What are the legal requirements of opening, operating and closing a current account in a bank?

Or

(b) What is nomination facility? Why is it done? What legal formalities are required in this matter?

8. (a) State the essential features of bills of exchange. What are its kinds? Explain.

Or

(b) What do you mean by crossing of a cheque? What are the different types of crossing?

9. (a) What are the precautions to be taken by a paying banker during salary payments?

Or

(b) What are the circumstances under which a banker can refuse payment of cheques? Give an examples.

10. (a) What are the important provisions of SERFAESI Act?

Or

(b) What are the problems in implementing the SERFAESI ACT?

Part C (10)

Case study – **Compulsory**.

11. 'X' Limited of India, is the leading company, in manufacturing and distributing computers throughout the country. The company obtained the 'Internet Vendor's website' in United States of America. The server is located in United States of America. The website is mainly used for identifying the customers and selling

computers throughout the globe. A buyer from any part of the world can go through the details of computers on the website, and decide which type of computers should be bought. After having decided, the buyer can place an order for computer by visiting the website and by providing the information requested to enter the transaction. At the same time the buyer's authorization and credit card number is legally routed on the digital highway to the bank. After closing the deal the digital information will generate physical distribution order to transport the computer to the address of the buyer. The buyer acknowledges the physical delivery of the computers.

You are required to discuss the legal complications and issues as to

(a) The legal status of the fixed place of business.

(b) Does the server legally constitute a place of business?

(c) What would happen legally if the vendor's server is in the state of the buyer?

RW–10613

Sub. Code
632702

M.B.A. DEGREE EXAMINATION, NOVEMBER 2015

Banking and Insurance

INTRODUCTION TO INSURANCE

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. State the functions of insurance.

2. What are the types of life insurance?

3. List out the functions of IRDA.

4. What are the economic principles of insurance?

5. What do you understand by insurance marketing?

Part B (5 × 10 = 50)

Answer **all** questions.

All questions carry equal marks.

6. (a) State the benefits of insurance to individuals, business units and the society.

Or

(b) Trace the evolution of insurance and emerging dimensions of its nature in 21st century.

7. (a) Explain the various types of general insurance.

Or

(b) What are the kinds of life insurance policies? Explain with examples.

8. (a) Explain the role of IRDA in reforming the Indian Insurance Industry.

Or

(b) Substantiate your argument for and against public and private sector insurance companies in India.

9. (a) Explain in detail the basic principles of insurance and their economic significance.

Or

(b) What do you understand by valuation of surplus? What are the factors taken into consideration in such valuation?

10. (a) Explain with example anyone life insurance product and suggest still better pricing for its competitive marketing edge.

Or

(b) What are the active distribution channels used in motor vehicles insurance? State the merits and demerits of such channels.

Part C (10 marks)

Case Study – Compulsory

11. Inbasagaran had purchased a bus by taking a loan from Swami Financers. The bus was being used as a private service vehicle, and not as a public transport one. It was insured under a comprehensive insurance policy issued

by United India Insurance. The bus met with an accident, for which insurance was claimed. The insurance company appointed its surveyor, who assessed the loss at Rs 1,26,500. However, the company deducted Rs 33,125 from the assessed amount, on the ground that the driver did not have an endorsement on his license to drive a transport vehicle. Even this amount was not paid to Inbasagaran, but was directly paid to the financer. Aggrieved, Inbasagaran filed a consumer complaint that ultimately reached the National Commission. It was held that once a person had a license to drive a heavy goods carriage vehicle, it would mean that he/she was entitled to drive a transport vehicle, including a public service vehicle. Accordingly, the insurance company was directed to pay the balance amount, along with 12 per cent interest and costs of Rs. 5,000.

The commission also ruled that the practice adopted by insurance companies of directly paying to the financer, without informing the insured or without his consent, cannot be justified. If the insurance policy is taken in the name of the vehicle purchaser, there is no question of paying the amount straightaway to the financier

(a) Should an insurance claim be paid to insured or financer? Why?

(b) Is there a cased for the driver to be attached in the final claim settlement for not having the license?

(c) Do you support the view of taking the consent of the vehicle owner before paying the financier? Explain.

RW–10615

Sub. Code
632401

M.B.A. (B & I) DEGREE EXAMINATION, NOVEMBER 2015

RISK MANAGEMENT

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** the questions.

All questions carry equal marks.

1. Distinguish between risk and uncertainty.

2. What is credit derivative?

3. What do you mean by swaps?

4. What risk profiling?

5. What do you mean by 'loss prevention'?

Part B (5 × 10 = 50)

Answer **all** the questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Enumerate the various sources of risks under different heads.

Or

(b) What are the advantages and disadvantages of risk management?

7. (a) Discuss suitable methods of reducing market risks.

Or

(b) Explain the components of operational risk management in banks.

8. (a) What are the key principles of Basel III norms?

Or

(b) Brief the role of Clearing Corporation of India Ltd. in various market segments.

9. (a) Explain how will you identify risk.

Or

(b) What are the hidden costs of accidents?

10. (a) Explain the potential risk treatment techniques.

Or

(b) 'Insurance is a risk transfer mechanism' – Comment.

Part C $(1 \times 10 = 10)$

11. Read the following case and answer the questions.

On 17 September 2004, Japan's regulators ordered Citigroup to close its private banking offices in Japan. The world's biggest bank by stockmarket capitalization was to be shut out of the world's second-biggest market for wealthy clients, where it has around 10,000 such customers and once held high hopes for boosting profits. In issuing its sanctions against Citibank Japan, the country's Financial Services Agency (FSA) cited improper transactions and a flawed system of controls that allowed abuses to take place. It accused the private bank of selling securities and derivatives at 'unfair' prices to its clients, many of whom appeared to have been rich but

unworldly, without explaining the risks. It also claimed that Citibank ignored warnings to teach its salespeople better practices and to keep a closer eye on them. On top of that, the FSA took Citibank to task for letting a client open an account that 'could be suspected of being associated with money laundering' while giving too little thought to what it was doing, and for lending money to clients who used the proceeds to manipulate share markets. The bank, the FSA went on, had constructed 'a law-evading sales system that disregards the laws and regulations of Japan', and had done so 'in a management environment in which profits are given undue importance by the bank headquarters'. This followed continued failure to improve internal controls, despite regulatory warnings going back three years and a scolding by the FSA in May. Douglas Peterson, who took over Citigroup's Japanese arm in May of the same year, was faced with the need to overhaul the bank's local practices and rebuild its reputation. Citigroup did not try to play the charges down, and chief executive, Charles O Prince III, issued a memo to employees highlighting 'the serious consequences of failing to comply with regulatory requirements and of violating our business standards'.

Merrill Lynch, in a report published the week after the Japanese FSA announcement, warned that Citigroup could have difficulty in growing private banking markets in other Asian countries, such as China and India. The report downgraded the bank's shares to neutral from a buy, with a charge that 'aggressive profit incentives [are] overriding judgement'. There is a threat that Citigroup's aggressive, profit-driven culture has created a 'monster' beyond the control of management.

(a) What is the problem in this case?

(b) Do you think just a memo is sufficient? Comment.

RW–10616

Sub. Code
632402

M.B.A. (B & I) DEGREE EXAMINATION, NOVEMBER 2015

MARINE INSURANCE

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** the questions.

All questions carry equal marks.

1. What do you mean insurable interest?

2. What do you understand by the term 're-insurance clause'?

3. Distinguish between actual loss and partial loss.

4. What is subrogation?

5. Who can make a recovery in marine insurance?

Part B (5 × 10 = 50)

Answer **all** the questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Explain the various types of policies to cover ship owner's insurable interest.

Or

(b) What are the factors an underwriter would evaluate in order to appraise each risk while underwriting marine cargo insurance?

7. (a) What are the perils covered under institute clauses for hull?

Or

(b) Write short notes on (i) Increased value clause (ii) Seller's contingency clause.

8. (a) Examine the causes for marine cargo loss.

Or

(b) Discuss the types of marine frauds and brief their prevention.

9. (a) Explain the features that are necessary while presenting the statement of claim (adjustment).

Or

(b) Write notes on (i) General Average, and (ii) Salvage and charges.

10. (a) Brief the exchange control regulations regarding payment of claims.

Or

(b) Discuss the role and functions marine insurance adjuster.

Part C $(1 \times 10 = 10)$

Compulsory

11. Read the following case and answer the questions.

Mr A was devastated when he had a phone call to say his boat had been badly damaged by an explosion in the cabin. Since buying the boat a year earlier he had put a great deal of money and effort into renovating it and had spent almost every weekend - and most of his annual leave - on the boat.

After inspecting the damage, Mr A put in a claim under his marine insurance policy. However, the insurer refused to payout. It said that, in installing a gas heater in the cabin, Mr A had "*knowingly taken insufficient measures to avert the risk of a faulty and dangerous installation*". The insurer said that this constituted "*recklessness*" and was therefore a breach of a policy condition.

The insurer based its view on a report prepared by the marine surveyor it had appointed to inspect the damage. The surveyor concluded that the cause of the explosion was the gas heater Mr A had installed in the cabin.

Mr A disputed the surveyor's conclusions. He was not convinced that the heater had caused the explosion and he put forward several alternative theories. He strenuously denied that he had acted recklessly in installing the heater, and said that he had considerable experience in installing such appliances correctly and had taken appropriate care.

When the insurer insisted that the circumstances of the case meant that it was not obliged to meet Mr A's claim, Mr. A went to court. The court examined the surveyor and the 'recklessness' issue in detail. Mr. A won his case.

Analyze what shall be the reasons for Mr. A having won the case?

RW–10617

Sub. Code
632403

M.B.A. (B & I) DEGREE EXAMINATION, NOVEMBER 2015

Banking and Insurance

MOTOR INSURANCE

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** the questions.

All questions carry equal marks.

1. What is motor insurance? What are the benefits of motor insurance?
2. What types of insurance covers are available for automobiles?
3. What is meant by certificate of insurance?
4. What is meant by minimum values?
5. What is no claim bonus?

Part B (5 × 10 = 50)

Answer **all** the questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) State the principles and need for motor insurance.

Or

(b) Explain the salient features of motor vehicles Act. 1988.

7. (a) Discuss about the comprehensive policy cover for motor vehicles.

Or

(b) Discuss about the personal accident cover for owner driver under motor policy.

8. (a) Explain the various types of policy forms used for motor vehicles.

Or

(b) Explain the following :

(i) Geographical zones

(ii) Renewal receipt

(iii) Proposal forms

(iv) Bonus – malus system.

9. (a) Discuss the major rating factors used in automobile insurance.

Or

(b) Explain briefly about the tariff for commercial vehicles in India.

10. (a) Explain the procedure and documents required for settlement of own damage claims.

Or

(b) Explain the following :

(i) Motor accident claims tribunal

(ii) Solatium fund

(iii) Deductable.

Part C $(1 \times 10 = 10)$

Compulsory questions.

11. Becuase Rams car is broken down, he borrows his son's car to run an errand. The son who lives with Ram in the same house, does not have his car insured. If Ram had an accident, would his personal auto policy cover him? Explain why or why not?

RW–10618

Sub. Code
632404

M.B.A. (B&I) DEGREE EXAMINATION, NOVEMBER 2015

EXECUTIVE COMMUNICATION

(CBCS 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. Attempt a suitable definition of the term communication and elaborate your definition.

2. Distinguish between hearing and listening.

3. What is the purpose of a circular?

4. Distinguish between resume and CV.

5. What is a workshop?

Part B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

6. (a) Discuss the psychological barriers to communication.

Or

(b) Discuss any four methods of communication.

7. (a) Explain the types of listening.

Or

(b) Discuss the factors that influence intrapersonal communication.

8. (a) Explain the types of business letters.

Or

(b) Write a short note on the importance of each of these to write effectively

(i) Brevity (ii) Courtesy (iii) appropriate tone.

9. (a) Explain the steps for preparing effective presentations

Or

(b) Explain the merits of video conferencing the guidelines to conduct the same.

10. (a) Discuss the various components one needs to plan for conducting a meeting.

Or

(b) Explain the process of conducting a press conference.

Part C $(1 \times 10 = 10)$

Compulsory

11. Your manager has asked you to determine whether or not the office staff would welcome the introduction of canteen facilities. Most of the staff have indicated that they would but only if the facilities were of a high standard. Some of the staff would prefer luncheon vouchers. Make your recommendation in a written report to your manager, you as his Assistant Manager.

RW–10619

Sub. Code
632405

M.B.A. DEGREE EXAMINATION, NOVEMBER 2015

Banking and Insurance

E - BANKING

(CBCS 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

All questions carry equal marks.

1. What is cheque truncation?

2. Define 'core banking'?

3. What is electronic token?

4. Distinguish between physical clearing system and electronic clearing system.

5. What are the most commonly reported disasters in e-banking?

Part B (5 × 10 = 50)

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

6. (a) What are the services offered by e-banking?

Or

(b) What are the features of mobile banking?

7. (a) What are the distinctive features of core banking?

Or

(b) Write short notes on:

(i) Different topologies in bank computerization,

(ii) Multi-user computer networking.

8. (a) What are the basic functions performed by ATMs?

Or

(b) What is electronic cash, its features and its process?

9. (a) What is RTGS system and its features? How is it different from NEFT?

Or

(b) Brief the methods of data transmission by BANKNET and RBI Net.

10. (a) Discuss the different types of threats to e-banking.

Or

(b) Critically evaluate the applicability of Information Technology Act to e banking.

Part C $(1 \times 10 = 10)$

Compulsory

11. Read the following case and answer the questions.

Ms. K applied for a credit card but says that the application was declined and she never received the card. Some time later, Ms. K was contacted to make payments on a debt of Rs. 1,00,000 owing on the credit card account. Although Ms. K did not believe she was responsible for the debt, she became nervous when the bank threatened to list the default with a credit reporting agency. She reluctantly agreed to repay Rs. 5,000 per month towards the debt.

Ms. K then received a letter from a collection agency demanding repayment of the full amount of the debt. Ms. K contacted the bank to ask how the account could have been opened in her name when her application was declined. She requested copies of the identification that had been shown when the account was opened, but she was advised that she would have to pay a fee for the information.

A default listing was subsequently entered against Ms. K's name and when this was discovered, Ms. K wrote to the Ombudsman Service requesting assistance.

The dispute was referred to the bank for its consideration. The bank conducted an investigation into the matter and advised that its records showed that the credit card application had, in fact, been approved but that it was not able to confirm that Ms. K had received the card. The bank accepted that the card may have been used fraudulently by a third party, and the dispute was promptly resolved with the bank agreeing to extinguish Ms K's liability for the debt and removing the default listing.

(a) Highlight the problems in this case.

(b) What alternate solution would you suggest to Ms. K?

RW–10620

Sub. Code
632406

M.B.A. (B and I) DEGREE EXAMINATION, NOVEMBER 2015

RURAL BANKING

(CBCS – 2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** questions.

1. Explain the term Below Poverty Line.

2. What is an agro-industry?

3. What is NABARD?

4. What is meant by Rural Non-farm Sector?

5. What is meant by priority sector in banking?

Part B (5 × 10 = 50)

Answer **all** questions.

6. (a) Explain the characteristics of rural society.

Or

(b) Discuss the socio-economic impact of urban migration in India.

7. (a) Explain the nature of technical changes in agriculture in India.

Or

(b) Discuss on the government policies for rural farm sector.

8. (a) Explain the role and functions of cooperative banks.

Or

(b) Explain the role of information technology in rural banking.

9. (a) Explain the nature and types of term loans for agriculture.

Or

(b) Explain the role of banks in financing rural non-farm sector.

10. (a) Discuss the nature of poverty alleviation programs.

Or

(b) Discuss the RBI initiatives for priority sector leanding.

Part C $(1 \times 10 = 10)$

Compulsory

11. Study the Case below and answer the question(s)

Microinsurance is recognized as a useful tool in economic development. As many low-income people do not have access to adequate risk-management tools, they are vulnerable to fall back into poverty in times of hardship, for example when the breadwinner of the family dies, or when high hospital bills force families to take out loans

with high interest rates. Furthermore, microinsurance makes it possible for people to take more risks. When farmers are insured against a bad harvest (resulting from drought), they are in a better position to grow crops which give high yields in good years, and bad yields in year of drought. Without the insurance, however, they will be inclined to do the opposite; since they have to safeguard a minimal level of income for themselves and their families, crops will be grown which are more drought resistant, but which have a much lower yield in good weather conditions.

Question: Discuss the nature of rural insurance and need for microinsurance development in India.

RW–10621

Sub. Code
632101

M.B.A. DEGREE EXAMINATION, NOVEMBER 2015

Banking and Insurance

MANAGEMENT CONCEPTS

(CBCS – 2008 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

All questions carry equal marks.

1. What do you understand by the term 'Management as a separate discipline'?

2. What is 'scalar chain'?

3. Enumerate any two characteristics of a strategy.

4. What is a tactical decision?

5. What do you mean by 'span of control'?

6. What is virtual organization?

7. What do you understand from the term 'negative motivation'?

8. Who is a Laissez Faire leader?

9. What is core competence?

10. When benchmarking is resorted to?

Part B (5 × 5 = 25)

Answer **all** questions, choosing either (a) or (b).

All questions carry equal marks.

11. (a) What are the distinctions between human relations approach and behavioural approach to management?

Or

(b) Describe the forces that were responsible for evolution of management thoughts.

12. (a) What are the characteristics of procedures?

Or

(b) How does a rule differ from a policy, procedure or method?

13. (a) What are the specific ways to find out what kind of organization structure is need to attain the objectives?

Or

(b) What is the relationship between authority and responsibility?

14. (a) What is the scope of directing?

Or

(b) Distinguish between motivators and hygiene factors. Why is it important to make this distinction?

15. (a) What is the significance of coordination in management?

Or

(b) Why should you establish standards in order to control?

Part C (3 × 10 = 30)

Answer any **three** questions.

All questions carry equal marks.

16. Write a note on criticism of scientific management.

17. Discuss the basic principles of planning.

18. Explain the factors that influence the degree of centralization and decentralization?

19. Discuss the barriers to effective communication.

20. Discuss the factors that lead to realize the importance of total quality management.

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RW–10622

Sub. Code
632501

M.B.A. (B & I) DEGREE EXAMINATION, NOVEMBER 2015

Banking and Insurance

MANAGERIAL ECONOMICS

(CBCS 2008 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (10 × 2 = 20)

Answer **all** questions.

All questions carry equal marks.

1. Enumerate any two objectives of managerial economics.

2. What do you understand by the term 'scarcity of goods'?

3. What is bandwagon effect?

4. What is point elasticity?

5. What is shut-down cost?

6. What do you mean by short-run?

7. What is oligopoly pricing

8. What do you mean by price discrimination?

9. What is contribution margin?

10. Define profit maximization.

Part B $(5 \times 5 = 25)$

Answer **all** questions choosing either (a) or (b).

All questions carry equal marks.

11. (a) What are the important specific functions of a managerial economist?

Or

(b) What is the nature of managerial economics?

12. (a) What are the various determinants of demand?

Or

(b) Describe the important types of production functions.

13. (a) The long-run average cost curve is L-shaped. Does this mean that the economies of scale do not exist?

Or

(b) What is the significance of opportunity cost in managerial decision-making?

14. (a) What is the difference between perfect competition and monopolistic competition?

Or

(b) What are the problems of product-line pricing?

15. (a) Distinguish between accounting profit and economic profit.

Or

(b) What are the advantages of break-even analysis?

Part C (3 × 10 = 30)

Answer any **three** questions.

All questions carry equal marks.

16. Explain the basic economic tools in managerial economics for decision making.

17. Write a comprehensive note on isoquants and isocost curves.

18. What are the determinants of cost behaviour? Enumerate the different approaches for estimating cost functions.

19. What factors determine the market structure? How does the market structure affect pricing decision of a firm?

20. Critically examine any two theories of profit of your choice.

RW–10342

Sub. Code
632301

M.B.A. (B & I) DEGREE EXAMINATION, NOVEMBER 2015

FINANCIAL SERVICES

(2012 onwards)

Time : 3 Hours Maximum : 75 Marks

Part A (5 × 3 = 15)

Answer **all** the questions.

All questions carry equal marks.

1. What are financial services? Mention its characteristics.
2. What guidelines are provided by SEBI on merchant banking?
3. List out the functions of AMCs.
4. Bring out the advantages of leasing.
5. What is credit card? Differentiate credit card from debit card.

Part B (5 × 10 = 50)

Answer **all** the questions, choosing either (a) or (b).

All questions carry equal marks.

6. (a) Briefly discuss the recent developments in the Indian financial services.

Or

(b) Enumerate the evolution of financial services market.

7. (a) Elucidate various functions of merchant banking institutions.

Or

(b) Explain in detail the working of depository system.

8. (a) Give explanation of the regulation and supervision of mutual funds by the SEBI, the RBI and the AMFI.

Or

(b) Elaborately discuss different types of mutual funds in India.

9. (a) Give a brief account of the important forms of factoring services.

Or

(b) What is meant by hire purchase finance? Draw a line of distinction between lease financing and hire purchase financing.

10. (a) Briefly explain the major advantages of credit card.

Or

(b) What is credit rating? Confer the mechanism and diverse credit rating agencies in India.

Part C $(1 \times 10 = 10)$

Compulsory

11. Give your comments on any THREE of the following statements :

(a) There has been a significant increase in financial institutions market activities and exposures.

(b) The different stages of investments are recognized and vary as regards the characteristics of the venture capital financing.

(c) The overall direction provided by the RBI for the development of the financial sector is kept in the view while formulating the refinance schemes.

(d) This card allows "off-line" and "on-line" transactions.